

I became unbelievably negative on Russia about a year before it blew up in August 1998. I was so bearish that I took my fund to 40 percent cash, which was unheard of for a long-only fund.

What made you so convinced about the bearish side?

The reason Russia didn't blow up earlier was because the money pulled out of Asia during the 1997 Asian crisis had to go somewhere. The money went into Eastern Europe and Latin America and created a mad bull market. But the way that I saw it, what was happening in Asia was the prototype for what would happen in Russia. There was a big disconnect between what I thought and what the market thought. The Asian crisis was caused by large current account deficits, which led to large borrowing and ultimately the crisis when the countries couldn't service their debt. When foreigners got scared, not only wouldn't they extend new money, but they started pulling their existing money out.

Based on the official numbers, Russia was running a current account surplus. So, superficially, it seemed quite different from Asia. The true measure of a balance of payments account is what happens to reserves. Even though Russia supposedly had this huge current account surplus and large capital inflows as people were throwing money at Russia, its reserves were going down instead of up.⁴ Russia should have been running a balance of payments surplus of about 10 to 11 percent of GDP each year, but instead, reserves were going down. I thought that the reserves numbers were truthful because the Russian central bank couldn't lie about those without being found out quickly by comparing their data with that of other Central Banks. Where was the difference? The difference was that during the ineptitude of the Yeltsin government years, theft of company assets was pervasive. The numbers didn't add up. Something was very, very wrong.

Wasn't anyone else talking about the discrepancy in the balance of payments numbers?

No one at all outside of our team. It was almost surreal.

How did you discover it?